

identification number (PIN) to withdraw cash from an automated teller machine (ATM).

Figure 3-1
HOW MANY MONTHLY PAYMENTS
YOU'LL NEED TO KILL YOUR DEBT

This table can help you get a rough sense of how long it will take you to get rid of your credit card debt entirely, regardless of how much you have.

Here's how it works: Look down the far-left column and ask yourself what percent of your debt you can comfortably commit to paying off each month. If, for example, you have \$1,000 in debt, you may decide that you can pay off 3% of \$1,000, or \$30, every month until the balance is completely wiped out. Now look across the top row and find the annual interest rate charged by your credit card. Say it's 18%. The point at which 3% intersects with 18% is the number of months it will take you to pay off your debt. In this case, the answer is 47 months. But, as you'll see from the chart, if you're able to refinance that debt with a credit card that charges only a 10% annual rate, the number of monthly payments you'll make will drop to 39.

If you want to do the math using your own numbers, you'll find a calculator at www.feedthepig.org, a fun site sponsored by the American Institute of Certified Public Accountants. (You know how funny they are!)

		ANNUAL INTEREST RATE					
		3%	7%	10%	14%	16%	18%
Payment as a % of Initial Debt	2%	54	60	65	75	83	93
	3%	32	34	39	42	44	47
	4%	26	28	28	30	31	32
	5%	21	22	22	23	23	24
	10%	10	11	11	11	11	11
	15%	7	7	7	7	7	7
	20%	5	5	5	5	5	5
	25%	4	4	4	4	4	4

Here's where it gets a little tricky. You know how sometimes a store clerk will ask, "debit or credit?" when you hand them a card? Well, they're doing that for several reasons. If you're using a credit card, you simply say "credit" and the amount will be charged to your card. End of story.

But if you are using a debit card and the clerk asks "debit or credit?" what he or she is really asking is whether you want the money to travel through the PIN network (they call that "debit") or through the signature network (they call that "credit"). Either way, the money still comes from the same place—your checking account—and in roughly the same amount of time.

So here's the point. When you use a debit card and say "credit," it doesn't mean you're *getting* credit. Instead, it means you'll sign on what is basically an electronic check at the cash register, and if there isn't enough money in your bank account, you'll get slapped with penalty fees just as if